

CSOP Hang Seng TECH Index ETF (3033.HK)

June in Review

The correction in the Hang Seng TECH Index during June was primarily driven by valuation compression and a rotation in investor positioning, rather than a deterioration in the underlying technology cycle. While the index experienced a broad-based pullback, performance within the sector remained differentiated. Traditional internet platforms, consumer technology, and electric vehicle supply chains faced greater pressure, whereas AI-related sectors, semiconductors, and companies benefiting from domestic technology substitution demonstrated relatively stronger resilience.

Overall, June's correction should not be interpreted as a loss of confidence in China's technology sector. Rather, it reflects a transition from pricing AI narratives to evaluating AI earnings delivery, with investors seeking greater evidence of sustainable profit growth.

Key Drivers of the Correction

1. Higher Interest Rate Expectations Weighed on Valuations

The primary driver of the correction was continued uncertainty surrounding earnings delivery. A more hawkish tone from the U.S. Federal Reserve in June pushed Treasury yields and U.S. dollar strength higher, placing additional valuation pressure on Hong Kong-listed growth stocks and tightening liquidity conditions for offshore Chinese equities.

2. Preference for Earnings Visibility and Cash Flow Certainty

Against a tighter liquidity backdrop, investors became increasingly selective, favouring companies with stronger cash flow generation, clearer earnings visibility, and more tangible order pipelines. Internet platform companies continued to face headwinds from promotional competition, AI investment spending, and a gradual consumer recovery, while electric vehicle and consumer hardware companies remained exposed to pricing pressure, inventory adjustments, and uncertain demand.

3. AI Exposure Increased but Requires Further Earnings Validation

The June index review added AI-related companies such as Zhipu and MiniMax, increasing the index's AI exposure. However, these additions are not yet sufficiently large to materially alter the overall index composition. In addition, following the strong rally in AI-related stocks, investors have increasingly shifted their focus towards valuation sustainability, share unlocks, and the pace of commercialisation.

Key Areas to Monitor

1. Q2 Earnings and Guidance

Q2 earnings results, particularly trends in advertising, e-commerce monetization, cloud services, and AI commercialization among platform companies, will be critical in determining the pace of valuation recovery.

2. Liquidity Conditions

Investors should continue to monitor U.S. interest rates, RMB exchange rate movements, Southbound capital flows, and Hong Kong equity risk premiums. A more sustained recovery in the Hang Seng TECH Index will likely require stabilisation in external liquidity conditions.

Outlook

The June correction was primarily driven by short-term valuation compression and sector rotation, rather than a structural deterioration in the sector's fundamentals. Looking ahead, the sustainability of any recovery will depend on companies' ability to deliver earnings growth and on AI-related investments transitioning from thematic enthusiasm to tangible commercial and financial results.

Historical Performance of 3033.HK and Hang Seng TECH Index*

	1-month return (%)	3-month return (%)	6-month return (%)	YTD return (%)
3033.HK	-8.22	-3.50	-18.79	-18.79
HSTECHN Index	-8.14	-3.24	-18.38	-18.38

*Bloomberg, as of 30/06/2026. 1-month return: 29/05/2026-30/06/2026, 3-month return: 31/03/2026-30/06/2026, 6-month return: 31/12/2025-30/06/2026, YTD return: 31/12/2025-30/06/2026.

Company News

- **NetEase (9999.HK) games' Eggy Party PC version goes live**

NetEase Games' party game Eggy Party today (June 5) launched on Windows, bringing the full experience to PC players with cross-platform account and data synchronization between mobile and PC. Players can seamlessly switch between devices while retaining their progress. The PC version preserves popular game modes, including Peak Party, Casual Party, and Eggy Farm.

It also introduces a PC-exclusive map editor, which allows creators to take advantage of the precision of keyboard-and-mouse controls and the larger screen format to build more sophisticated and higher-quality custom maps. A Mac version is also currently in development and is expected to launch in the near future.

- **SMIC (0981.HK) raises full-year outlook as domestic orders drive Q2 guidance well above consensus**

Semiconductor Manufacturing International Corporation (SMIC) reported first-quarter 2026 revenue of US\$2.505 billion, up 0.7% sequentially. For Q2, the company guided revenue to US\$2.86 billion to US\$2.90 billion, implying quarter-on-quarter growth of 14% to 16%.

Gross margin held at 20.1% in Q1, a 0.9-percentage-point sequential improvement, with Q2 gross margin guided in the 20%-22% range — the upper end of which would represent the company's strongest margin performance in several quarters. Management attributed the upgraded outlook to rising customer demand and a recovery in on-hand orders, stating the company is "more optimistic about overall operations this year compared to last quarter."

- **BYD (1211.HK) chairman says firm will be world's biggest automaker in 5 years**

BYD chairman Wang Chuanfu on June 9 said he expects the Chinese firm to become the world's largest automaker within five years, as he sought to reassure investors following a steep decline in the company's share price.

BYD, which ranked sixth globally in 2025 with 4.6 million vehicles sold, has struggled to restore growth after its domestic sales were hit by intensified competition with local peers over the past year. Shares of the company have dropped more than 45 per cent from their peak in Hong Kong over the past year, while its Shenzhen-listed stock has fallen 33 per cent.

Speaking at the company's annual shareholder meeting at its Shenzhen headquarters, Wang addressed nearly 1,000 shareholders, emphasising a focus on ramping up the output of its second-generation Blade Battery, which he identified as 2026's key growth bottleneck, according to the state-owned Shanghai Securities News.

- **Meituan (3690.HK)'s reset starts with narrower delivery losses**

In the first quarter of 2026, Meituan recorded RMB 91 billion (US\$13.4 billion) in revenue, up 5.6% year-on-year and broadly in line with expectations. The stronger signal was its operating loss, which narrowed to RMB 6.5 billion (US\$957.5 million) from RMB 16.1 billion (US\$2.4 billion) in the previous quarter. Its core local commerce segment, the group's most scrutinized business, cut its operating loss to RMB 2 billion (US\$294.6 million) from RMB 10 billion (US\$1.5 billion), materially better than analysts' expectations of RMB 4.0–4.5 billion (US\$589.2–662.9 million).

- **Baidu AI chip unit Kunlunxin targets US\$50 billion valuation in Hong Kong IPO, report says**

As of 28 June, the Information reported that Baidu's AI chip unit Kunlunxin is planning a Hong Kong IPO targeting a valuation of US\$50 billion, after Baidu said in January that the unit had confidentially filed a listing application with the Hong Kong stock exchange. The report said prospective investors were asked to buy chips worth three to seven times the value of their planned IPO share subscription, while Reuters said it could not immediately verify the report and Baidu did not immediately comment. The planned deal matters for investors because it points to renewed momentum in Hong Kong and China's tech fundraising, with Kunlunxin also drawing commercial interest as ByteDance was considering using its chips and Tencent is already a customer.

- **Zhipu AI market cap tops HK\$1 trillion as GLM-5.2 developer's shares soar**

On 22 June, Zhipu AI's market capitalisation surpassed HK\$1 trillion (US\$128 billion) after its Hong Kong-listed shares surged as much as 42% in Monday morning trading to a peak of HK\$2,980. The rally followed the release last week of Zhipu's open-source GLM-5.2 model, which features a 1-million-token context window, boosting investor optimism as the company competes more directly with US artificial intelligence rivals. For investors, the move underscores strong market enthusiasm for China AI names and highlights how product launches can quickly re-rate valuations in the sector.

- **MiniMax (0100.HK) plans China IPO as it eyes local rivals like DeepSeek**

China's MiniMax Group has begun preparations for a domestic initial public offering (IPO), according to a regulatory filing, as the fast-growing artificial intelligence (AI) startup challenges local rivals including DeepSeek. The filing comes after the Shanghai-based company listed in Hong Kong in January, joining a wave of Chinese AI firms turning to public markets to fund costly model development and expansion.

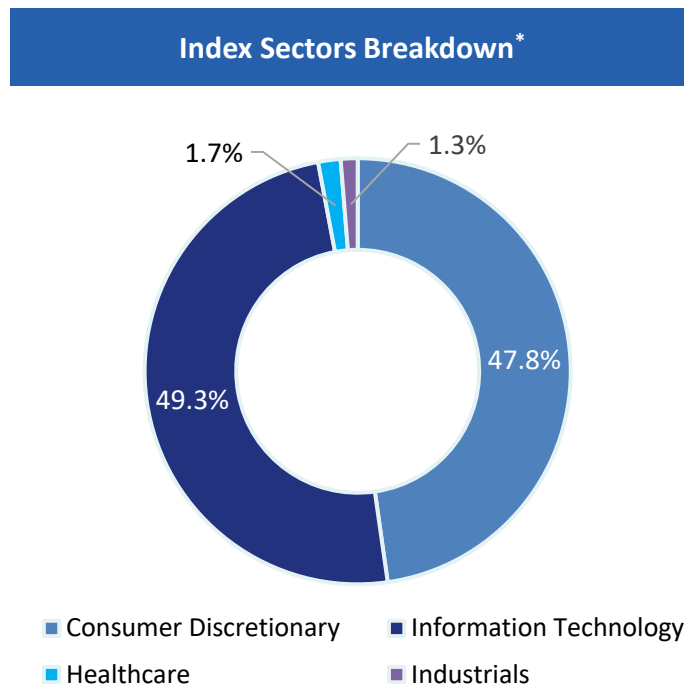
The Performance of HSTECH Constituents

(*Next Rebalancing Date: 4 September 2026)

Stock Code	Stock Name	Closing Price (HKD)	Weighting (%)	1-month return (%)	3-month return (%)	6-month return (%)	YTD return (%)
981	SMIC	89.4	10.15	9.56	76.33	25.12	25.12
9999	NTES - S	202.4	9.53	4.89	19.40	-4.19	-4.19
700	TENCENT	429.8	8.30	0.61	-10.17	-27.41	-27.41
3690	MEITUAN - W	68.5	7.45	-6.74	-17.42	-33.69	-33.69
1211	BYD COMPANY	72.45	6.97	-20.26	-31.19	-23.65	-23.65
1810	XIAOMI - W	21.64	6.80	-22.82	-31.86	-44.94	-44.94
9988	BABA - W	92.85	6.60	-22.50	-21.27	-34.39	-34.39
1347	HUA HONG GRACE	215.2	5.14	33.42	177.14	189.64	189.64
9888	BIDU - SW	109.6	4.96	-15.69	3.69	-16.65	-16.65
9618	JD - SW	99.25	4.73	-12.56	-9.26	-7.95	-7.95
992	LENOVO GROUP	23.02	4.70	-4.08	151.58	148.60	148.60
1024	KUAISHOU - W	41.6	3.79	-7.11	-6.25	-33.85	-33.85
9961	TRIP.COM - S	311.6	2.57	-15.51	-18.17	-43.75	-43.75
9868	XPENG - W	50.65	2.47	-20.67	-22.61	-36.17	-36.17
2015	LI AUTO - W	46.08	1.93	-20.35	-31.94	-28.94	-28.94
300	MIDEA GROUP	82.6	1.53	1.36	3.72	2.32	2.32
6690	HAIER SMARTHOME	19.98	1.45	1.42	-3.57	-17.71	-17.71
9660	HORIZONROBOT - W	4.08	1.43	-22.87	-38.37	-52.89	-52.89
20	SENSETIME - W	1.34	1.38	-19.28	-27.17	-39.09	-39.09
2382	SUNNY OPTICAL	61	1.28	-26.12	15.83	-5.55	-5.55
9626	BILIBILI - W	131.7	1.26	-3.37	-22.85	-31.73	-31.73
2513	KNOWLEDGE ATLAS	2104	1.11	31.91	203.39	1710.67	1710.67
6618	JD HEALTH	32.84	1.10	-14.48	-30.22	-40.83	-40.83
9863	LEAPMOTOR	34.48	0.76	-12.26	-26.67	-29.08	-29.08
9866	NIO - SW	38.74	0.72	-8.85	-11.67	-5.42	-5.42
241	ALI HEALTH	3.08	0.60	-15.15	-33.91	-39.01	-39.01
780	TONGCHENGTRAVEL	11.99	0.51	-13.56	-32.00	-45.45	-45.45
285	BYD ELECTRONIC	20.92	0.49	-27.78	-23.64	-37.35	-37.35
100	MINIMAX - W	417	0.23	-50.36	-55.14	152.73	152.73
1698	TME - SW	32.88	0.06	-6.96	-9.29	-51.12	-51.12

Source: Bloomberg, Hang Seng Indexes Company Limited, as of 30/06/2026 *Rebalancing will be conducted after closing of the 1st Friday in March, June, September and December. 1-month return: 12/05/2026-12/06/2026, 3-month return: 12/03/2026-12/06/2026, 6-month return: 12/12/2025-12/06/2026, YTD return: 31/12/2025-12/06/2026. If the listing history of the stock is less than the calculating period of the return, the value will show “#N/A”.

Top 10 Index Constituents*	(%)
SEMICONDUCTOR MANUFACTURING	10.15
NETEASE INC	9.53
TENCENT HOLDINGS LTD	8.30
MEITUAN	7.45
BYD CO LTD	6.97
XIAOMI CORP	6.80
ALIBABA GROUP HOLDING LTD	6.60
HUA HONG SEMICONDUCTOR LTD	5.14
BAIDU INC	4.96
JD.COM INC	4.73



Top Performers in June**

Issuer	June Return (%)
HUA HONG SEMICONDUCTOR LTD	33.42
KNOWLEDGE ATLAS	31.91
SEMICONDUCTOR MANUFACTURING	9.56

Bottom Performers in June**

Issuer	June Return (%)
SUNNY OPTICAL	-26.12
BYD ELECTRONIC	-27.78
MINIMAX - W	-50.36

3033.HK Portfolio Analysis

Asset Under Management (HKD)^	67,536.55 million
Average Daily Turnover (HKD)^	12,882 million
Number of holdings	30

*Hang Seng Indexes, as of 30/06/2026. **Wind, 29/05/2026 – 30/06/2026. ^CSOP, as of 30/06/2026. ^^Bloomberg, 01/06/2026 – 30/06/2026.